

OCAD - ONE COMPANY A DAY

SERIES: ENERGY

CHEVRON

Chevron Corporation

NYSE: CVX | Houston, United States

US\$205.15

Close of Wednesday 7 October 2026 | Daily change -1.17%



CVX daily closing price, 8 July 2026 to 7 October 2026 (US\$). Source: Alpha Vantage daily time series.

REPORT DATE
8 October 2026

ANALYST
Arthur Faugeron

EXCHANGE
New York Stock Exchange

SECTOR
Integrated Oil and Gas

Executive Summary

Chevron is the second-largest United States integrated oil company by market value. In the twelve months to June 2026 it generated \$209.4bn of revenue, \$45.3bn of operating cash flow and \$27.0bn of free cash flow, and it enters the fourth quarter of 2026 with net debt of 0.56x EBITDA. The stock closed at \$205.15 on 7 October 2026, up 34.6% year to date, after a Brent price spike driven by the Strait of Hormuz disruption (Brent averaged \$114 in September per the US Energy Information Administration). The central question is how much of the current earnings power is permanent after the post-Hess production step-up, and how much is a temporary price windfall.

Business

Chevron explores for, produces and ships crude oil, natural gas and LNG (Upstream), and refines and markets fuels, lubricants and petrochemicals (Downstream). Output was 4.07m barrels of oil equivalent per day (boe/d) in the second quarter of 2026, 20% above the prior year after the July 2025 Hess acquisition. Customers are refiners, utilities, traders, national oil companies and about 13,800 branded service stations; the United States holds 43% of proved reserves and Australia 15%, Kazakhstan 11% (10-K, FY2025). The model is capital-intensive, price-taking at the wellhead and margin-driven in refining. SOURCED

Financial Condition

TTM revenue was \$209.4bn (+10.5%), operating income \$27.2bn (13.0% margin), EBITDA \$50.7bn (24.2%), net income \$20.6bn (9.8%) and diluted EPS \$10.41. Operating cash flow was \$45.3bn and free cash flow \$27.0bn after \$18.3bn of capex. Net debt was \$28.5bn (0.56x EBITDA; company-reported net debt ratio 13.1%). Return on invested capital is 8.2% against a 17.8% peak in 2022, which shows how cyclical the return profile is. SOURCED CALCULATED

Market Position

Direct competitors are Exxon Mobil, Shell, TotalEnergies and ConocoPhillips. Chevron holds 30% of the Stabroek Block in Guyana, a 50% interest in Tengizchevroil in Kazakhstan, and is the largest LNG producer in Australia. Its main advantage is a low-cost, long-life resource base with a strong balance sheet. Its main weakness is concentration in a small number of very large projects and exposure to geopolitical risk in the Middle East and Central Asia. SOURCED

Valuation

VALUATION SNAPSHOT AT THE 7 OCTOBER 2026 CLOSE

Metric	Value	Metric	Value
Market capitalization	\$402.4bn	EV/EBITDA (TTM)	8.5x
Enterprise value	\$431.0bn	EV/Sales	2.1x
P/E (trailing)	19.7x	FCF yield	6.7%
P/E (forward, consensus)	12.3x	Dividend yield	3.47%
P/FCF (TTM)	14.9x	Price to book	2.1x

Source: StockAnalysis.com (S&P Global Market Intelligence data), 7 October 2026. Forward P/E is a market-consensus figure.

Investment Framework

FRAMEWORK SUMMARY

Question	Assessment
What is attractive?	Record production of 4.07m boe/d, \$1.5bn of Hess synergies, low leverage, 3.5% dividend yield with a dividend raised 4.3% over the last year, and a 6.7% free cash flow yield at elevated oil prices.
What is concerning?	TTM earnings include a one-quarter price windfall (Q2 2026 net income of \$12.1bn versus \$2.5bn a year earlier). Share count is up 12% year on year because of Hess. Trailing P/E of 19.7x is above the 2021 to 2025 average of 15.4x.
What must go right?	Brent must hold near the \$75 to \$85 range through 2028, Guyana must ramp to eight floating production units, and capex must stay at \$18bn to \$19bn per year.
What could break the thesis?	A price collapse toward \$60 Brent, project delays or disputes in Guyana or Kazakhstan, or a prolonged loss of Middle East volumes without price compensation.
What is priced in?	Reasoned reverse DCF: the current price implies free cash flow of about \$30bn per year, roughly 7% above the base case, at an 8.25% discount rate and 1.5% terminal growth.

Investment Profile

PROFILE SUMMARY

Dimension	Assessment
Business quality	High. Integrated, diversified across basins, long-life reserves of 10.6bn boe.
Financial quality	High. Net debt to EBITDA 0.56x, cash conversion 2.2x net income, covered dividend.
Competitive position	Strong. Top-two US major; Guyana and Permian growth; cost-advantaged assets.
Growth profile	Moderate to good. 7% to 10% production growth guided for 2026, then lower.
Balance-sheet risk	Low. Interest coverage 18.9x; record \$8.4bn debt reduction in Q2 2026.
Valuation	Fair to full on trailing metrics; reasonable on forward and normalized cash flow.
Market and technical profile	Constructive trend, momentum fading. Price above 50-day and 200-day averages; RSI 48.

Notes: Sourced figures come from Chevron filings and StockAnalysis.com; Calculated figures are the analyst computations explained in section B. Fiscal year ends 31 December. Currency is US dollars. Accounting framework is US GAAP.

A. About the Business

A1. Business Environment

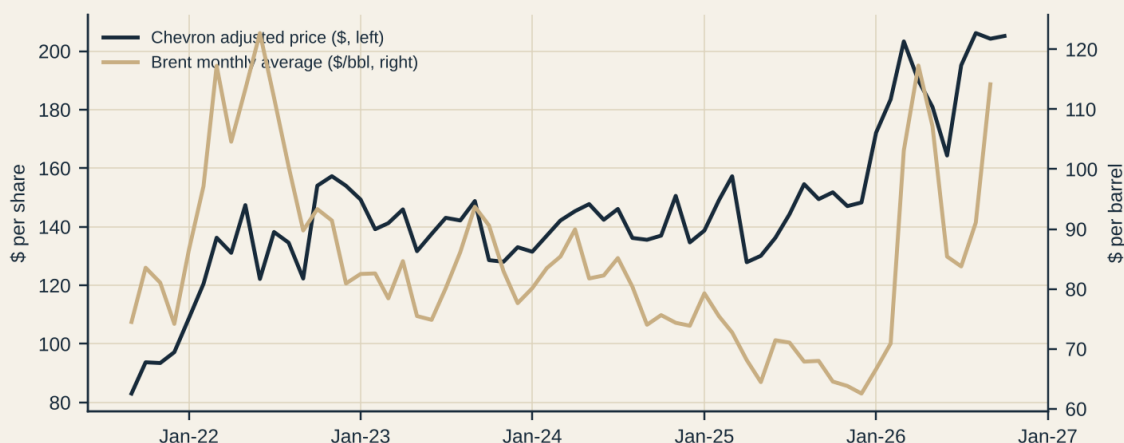
Industry definition. Chevron operates in integrated oil and gas: the discovery, extraction, transport, refining and sale of hydrocarbons, plus LNG and a small low-carbon business. The industry sells a commodity whose price is set globally, so value creation depends on cost position, resource quality and capital discipline rather than on pricing power. REASONED

Value chain. Upstream (exploration, development, production) feeds midstream (pipelines, tankers, LNG liquefaction), which feeds downstream (refining, petrochemicals, retail marketing). Upstream captures most of the economic rent when prices are high; downstream earns a spread between crude input cost and product prices and is far more stable per barrel. In Q2 2026 Chevron earned \$8.2bn from Upstream and \$4.9bn from Downstream, against \$2.7bn and \$0.7bn a year earlier.

SOURCED

Size and growth. The EIA estimates global liquid fuels consumption at 104.4m barrels per day in 2025, falling to 102.4m in 2026 on the supply shock, then recovering to 104.6m in 2027. At a \$69 average 2025 Brent price the global crude market is roughly \$2.6trn per year (104.4m x 365 x \$69, Calculated). Demand growth was about 1m b/d per year before the shock; the 2026 contraction is price- and supply-driven. SOURCED CALCULATED

Chevron share price and Brent crude oil, September 2021 to October 2026



Sources: Alpha Vantage monthly adjusted time series (CVX); Alpha Vantage Brent monthly average (US EIA data). Brent shown to September 2026.

Revenue and cost pools. Revenue pools are crude and condensate sales, natural gas and LNG, refined products and chemicals. Cost pools are operating costs, depreciation of long-lived assets (D&A was \$23.4bn TTM, 11% of revenue), exploration, taxes and royalties (effective tax rate 31.6% TTM), and capital expenditure. Capital intensity is high: TTM capex of \$18.3bn equals 8.7% of revenue and 40% of operating cash flow. CALCULATED

Cyclicality and regulation. Earnings are highly cyclical. Chevron net income swung from \$15.6bn (2021) to \$35.5bn (2022) to \$12.3bn (2025). Regulation is material: production sharing and royalty regimes, windfall taxes, emissions rules, refinery permitting and sanctions. Technology matters through shale well productivity, deepwater subsea systems, carbon capture and digital operations.

Structure and concentration. Supply is split between OPEC (29.3m b/d in 2025 per EIA) and non-OPEC (77.0m b/d). Among listed companies the five Western majors (Exxon Mobil, Chevron, Shell, TotalEnergies, BP) and ConocoPhillips are the largest producers, but national oil companies control most of the world's reserves. Customers are fragmented; supplier concentration is in oilfield services and shipping.

STAGE OF THE INDUSTRY

Mature, highly cyclical, and structurally transforming. Mature because global demand growth is slow and the resource base is well understood; cyclical because price swings drive profit swings of 2x to 3x; transforming because electrification, efficiency and LNG are reshaping long-run demand. The current stage is a supply-shock peak: Brent reached \$131 on 15 September 2026 (EIA). SOURCED REASONED

Sources: US Energy Information Administration, Short-Term Energy Outlook, 6 October 2026; Chevron Form 10-K FY2025; Chevron Q2 2026 earnings release (31 July 2026).

A2. What Does the Company Do?

Explained to a new employee: Chevron pulls oil and gas out of the ground in many countries, moves it by pipeline and ship, turns part of it into gasoline, diesel, jet fuel and lubricants in eight refineries, and sells the rest as crude or LNG. It earns money three ways: selling what it produces (price times volume, less cost), earning a margin on refining and marketing, and receiving dividends from partly owned affiliates such as Tengizchevroil (Kazakhstan). SOURCED

SEGMENTS AND ECONOMICS

Segment	What it sells	Q2 2026 earnings	Key facts
Upstream - United States	Crude, natural gas, NGLs	\$3,541m	2,077k boe/d; Permian above 1m boe/d net; Gulf of America
Upstream - International	Crude, gas, LNG	\$4,641m	1,993k boe/d; Kazakhstan, Australia, Guyana, Eastern Mediterranean
Downstream - United States	Gasoline, diesel, lubricants	\$2,411m	5 refineries, 1,099k b/d; record 1.07m b/d inputs
Downstream - International	Fuels, lubricants, petrochemicals	\$2,457m	598k b/d inputs; asset sales in Asia
All Other	Corporate, technology, New Energies	\$(978)m	Interest, overhead, low-carbon spend

Source: Chevron Q2 2026 earnings release (Form 8-K exhibit, 31 July 2026); Chevron Form 10-K FY2025. Segment earnings are after-tax US GAAP.

Customers and channels. Crude and LNG are sold to refiners, utilities and traders under term and spot contracts, often linked to Brent or regional gas indices. Fuels reach consumers through about 8,600 Chevron and Texaco stations in the United States and about 5,200 outside it, mostly independently owned dealers. Pricing is index-linked, so there is almost no pricing power; the lever is cost per barrel and volume. Revenue is spot-priced and therefore non-recurring in price terms, but long-life reserves of 10.6bn boe make volumes highly predictable: reserve life is about 7.8 years on 2025 production of 3.72m boe/d (Calculated: 10,591m boe divided by 1,359m boe per year). SOURCED

How a dollar enters and where it goes. Using TTM figures: of each \$1.00 of revenue, 56 cents is cost of revenue, leaving a 44 cent gross margin; 31 cents goes to operating expenses (about 17 cents of SG&A, 11 cents of depreciation and amortization, and 3 cents of other costs); operating income is 13 cents. Add 2 cents of equity-affiliate income, deduct 1 cent of interest and 5 cents of income tax, leaving 10 cents of net income. D&A of 11 cents is non-cash, so operating cash flow is about 22 cents; capex takes 9 cents, leaving 13 cents of free cash flow, of which about 7 cents pays dividends and 5 cents funds buybacks. CALCULATED

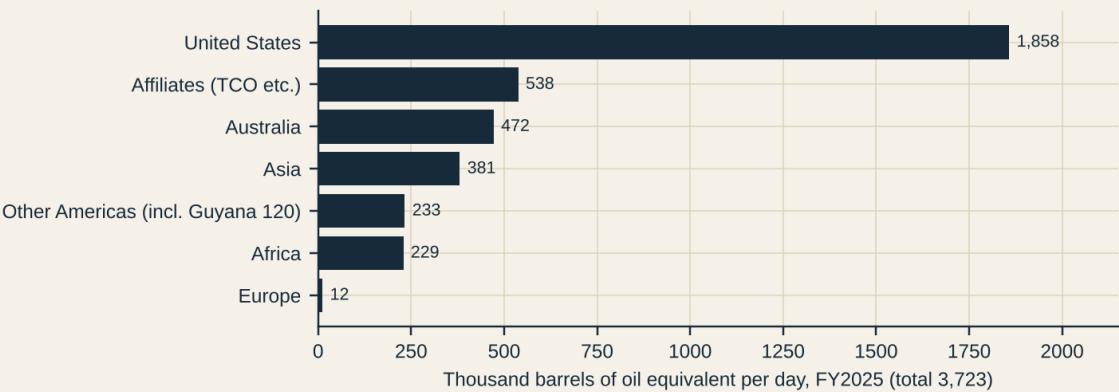
Flow of a revenue dollar, trailing twelve months to June 2026

1 CUSTOMER Refiners, utilities, traders, drivers, industrial users	2 PRODUCT AND SERVICE Crude, gas, LNG, fuels, lubricants, chemicals	3 REVENUE \$209.4bn TTM, index-linked to Brent and gas hubs
4 COSTS Cost of revenue 56 cents; operating expenses incl. D&A 31 cents per \$1.00	5 OPERATING PROFIT \$27.2bn (13.0%); EBITDA \$50.7bn (24.2%)	6 CASH FLOW Operating cash flow \$45.3bn; free cash flow \$27.0bn
7 CAPITAL ALLOCATION Dividends \$13.9bn, buybacks \$9.9bn, debt reduction \$8.4bn in Q2 2026, capex \$18.3bn		

Source: Chevron financial statements via StockAnalysis.com; calculations by the analyst. Percentages of revenue are Calculated.

Most important economic drivers. (1) Realized crude price: international liquids realizations rose \$37.53 per barrel year on year in Q2 2026 and Upstream earnings rose \$5.5bn in the quarter; Chevron's published per-dollar sensitivities are Not Retrieved. (2) Volumes: 4.07m boe/d. (3) Refining margin and utilization: US crude units ran above 97% in Q2 2026. (4) Unit cost, where management targets \$3bn to \$4bn of structural savings by end of 2026. SOURCED REASONED

Net oil-equivalent production by geography, FY2025



Source: Chevron Form 10-K FY2025 (production including affiliates).

Reserve life, unit economics and per-barrel costs: lifting costs per barrel are Not Retrieved in this review; the 10-K discloses them by region.

A3. Business and Relationship Network

Chevron is a holding company with operations run through wholly owned subsidiaries, joint operating agreements and equity affiliates. The tree below maps the relationships that carry the most economic weight.

NETWORK TREE

Branch	Relationship	Why it matters economically
Company	Chevron Corporation, Houston; about 43,000 employees	Parent of Upstream, Downstream and Other Businesses. 1,962m shares outstanding.
Segment A: Upstream	Permian Basin, DJ Basin, Bakken, Gulf of America, Tengiz, Gorgon, Wheatstone, Stabroek (30%)	Produced 3.7m boe/d in 2025; 10.6bn boe proved reserves; most of group earnings in a high-price year.

Branch	Relationship	Why it matters economically
Segment B: Downstream	Eight refineries (1.8m b/d), 13,800 branded outlets, lubricants, renewable fuels	Stabilizes earnings; Q2 2026 earnings of \$4.9bn on higher margins.
Strategic partners	Exxon Mobil (Stabroek operator) and CNOOC (Stabroek co-owner) (Reasoned from public record); Kazakhstan government and KazMunayGas in Tengizchevroil; Microsoft power agreement	Guyana is the largest growth driver; partner operatorship means Chevron does not control timing. Microsoft signed a 20-year agreement for about 2.67 GW of behind-the-meter power in West Texas.
Suppliers and infrastructure	Oilfield service providers, drilling contractors, FPSO builders, shipping and pipeline operators	Cost inflation and delivery schedules for floating production units drive project returns.
Customers and distribution	Refiners, utilities, traders, national oil companies; independent station dealers	No single customer concentration disclosed in the retrieved content (Not Retrieved).
Subsidiaries and brands	Chevron, Texaco, Caltex; Hess Corporation (acquired 18 July 2025)	Hess brought 30% of Stabroek, Bakken acreage and Gulf of America assets for about \$53bn in stock.
Major shareholders	Institutional index and asset managers	Not Retrieved in this review; insider ownership data is Not Retrieved.
Competitors	Exxon Mobil, Shell, TotalEnergies, BP, ConocoPhillips, Woodside, national oil companies	See A4.

Sources: Chevron Form 10-K FY2025; Chevron Q2 2026 release; World Oil, 18 July 2025. Partner names not in the retrieved filing text are Reasoned from public record.

Interpretation. The ecosystem is dominated by a few very large relationships. Guyana (30% of Stabroek, expected to reach eight floating production units and about 1.7m gross b/d by 2030) and Kazakhstan (Tengiz at about 1m boe/d gross after the Future Growth Project added 260k b/d) together create the largest single-asset concentration risks and growth options. The Hess deal was completed after a lengthy arbitration with Exxon Mobil over pre-emption rights, which left a working relationship that matters because Exxon operates Stabroek. SOURCED REASONED

A4. Competition

Peers are chosen because they compete with Chevron for the same barrels, acreage, LNG customers and capital from the same investor pool. All five are large, integrated or diversified producers with global LNG and US shale exposure.

COMPETITIVE COMPARISON (7 TO 8 OCTOBER 2026)

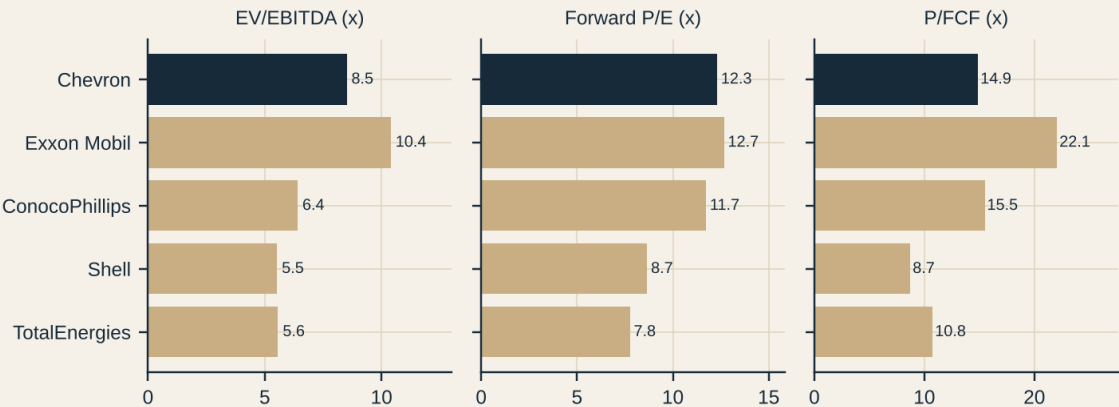
Company	Type	Mkt cap \$bn	TTM revenue \$bn	Op. margin	ROIC	Why selected
Chevron	US integrated	402.4	209.4	13.0%	8.2%	Subject company
Exxon Mobil	Direct	674.6	361.1	11.2%	10.0%	Closest US peer; Permian, Guyana (operator), LNG
ConocoPhillips	Direct (upstream)	156.0	64.5	23.1%	11.6%	Permian and LNG overlap; no refining
Shell	Direct	275.8	296.6	13.3%	11.4%	LNG leader; global refining and trading
TotalEnergies	Direct	187.6	196.4	13.6%	10.3%	LNG, Africa, Middle East; integrated power

Source: StockAnalysis.com statistics pages, 7 to 8 October 2026. Shell and TotalEnergies report under IFRS in US dollars; Chevron, Exxon Mobil and ConocoPhillips under US GAAP.

Indirect competitors and substitutes. Independent refiners (Valero, Marathon Petroleum, Phillips 66) compete in downstream margins. Substitutes include electric vehicles for road fuels and wind, solar and nuclear for power-sector gas demand. Emerging competitors are Gulf national oil companies expanding LNG and the Guyana neighbors Suriname and Brazil competing for deepwater capital. Geographic competitors include Woodside (Australian LNG) and Eni and Shell in Africa and the Mediterranean. REASONED

Position versus peers. Chevron is the second-largest by market value at 60% of Exxon's size. Its operating margin of 13.0% is in line with Shell and TotalEnergies and well below ConocoPhillips, which has no refining and is pure upstream. Chevron's ROIC of 8.2% is the lowest in the group, reflecting recently acquired Hess assets not yet at full production and a 22% fall in 2025 earnings. Its balance sheet is not the weakest or strongest: net debt to EBITDA of 0.56x is the second lowest in the table after Exxon Mobil (about 0.47x, Calculated). CALCULATED

Peer valuation comparison



Source: StockAnalysis.com statistics pages, 7 to 8 October 2026. Forward P/E reflects consensus estimates.

A5. Competitive Differences

ADVANTAGES AND DISADVANTAGES

Factor	Assessment	Type
Resource base and scale	10.6bn boe proved reserves, up 8% in 2025; 43% in the United States; Permian above 1.75m net acres	Structural
Cost position	Permian and Tengiz are low-cost; \$3bn run-rate structural savings reached six months early	Structural, partly temporary
Integration	Refining captures margin when crude is volatile; US refineries at 97% utilization	Structural
Balance sheet	Net debt \$28.5bn, net debt to EBITDA 0.56x, Altman Z-Score 3.33	Temporary (changes with price)
Capital access	Investment-grade debt, \$18bn to \$19bn organic capex funded internally	Structural
Customer concentration	Not Retrieved	N/A
Pricing power	None; revenue follows Brent and gas indices	Structural weakness

Factor	Assessment	Type
Project concentration	Guyana and Tengiz are large, single-jurisdiction exposures	Structural weakness
Returns on capital	ROIC 8.2% TTM and 5.5% in FY2025, below the 17.8% peak in 2022	Cyclical

Sources: Chevron Form 10-K FY2025; Chevron Q2 2026 release; StockAnalysis.com. Classification of structural versus temporary is Reasoned.

Moat rating: Moderate. Commodity businesses rarely achieve a strong moat because they cannot set price. Chevron's edge is cost and reserve quality: a low-cost position lets it earn positive returns at \$50 to \$60 Brent, and the Permian and Guyana growth is largely self-funded. The edge does not prevent the 2025 ROIC of 5.5%, which shows returns follow the price, not the franchise. The structural advantages are reserves, scale and integration; the temporary ones are the current balance-sheet strength and the Hess synergy capture. REASONED

A6. Industry Trend

Historical and current. Brent averaged \$82 in 2023, \$80 in 2024, about \$69 in 2025 and rose to \$114 in September 2026 (monthly averages, Alpha Vantage). Production fell sharply in 2026 as Middle East shut-ins peaked at 10.9m b/d in May (EIA), turning a supply-heavy 2025 market into a deficit; global inventories fell 1.9m b/d in the third quarter. SOURCED

Expected. EIA forecasts Brent at \$105 in the fourth quarter of 2026, \$87 by the second quarter of 2027 and \$74 in the fourth quarter of 2027, with production recovering from 101.1m b/d in 2026 to 109.6m b/d in 2027. That is a decline of about 30% in four quarters. Supply growth outside OPEC (77.2m to 80.4m b/d in 2027) and a UAE pipeline expected in 2027 are the structural brakes on prices. SOURCED

Structural versus temporary. Structural: the shift in non-OPEC supply toward the Americas (Guyana, Brazil, US shale), growth of LNG as the transition fuel, slow electrification of road transport, and capital discipline among majors. Temporary: the Hormuz and pipeline disruption, tanker rates and insurance costs, inventory rebuilding. REASONED

CLASSIFICATION

Cyclical and consolidating. The industry is in a supply-shock phase layered on a mature structure; the Hess, Pioneer and other deals show consolidation. What could reverse the trend: a ceasefire and normalization of Hormuz flows, faster OPEC volume recovery, a global demand slowdown (EIA has 2026 demand down 2.0m b/d), or an acceleration in electric vehicle adoption.

A7. Management

KEY EXECUTIVES

Name	Position	Notes
Mike Wirth	Chairman and Chief Executive Officer	Led the Hess acquisition. Career at Chevron since the early 1980s (Reasoned from public record). The board waived the mandatory retirement age to retain him (Hart Energy report). Ownership: Not Retrieved.
Eimear Bonner	Chief Financial Officer (to become President, Oil, Products and Gas on 1 January 2027)	Oversees financing and capital allocation through the Hess integration.

Name	Position	Notes
Jeff Gustavson	President, New Energies (to become CFO on 1 January 2027)	Appointed 5 October 2026 to oversee audit, controller, tax, treasury and investor relations.
Mark Nelson	Vice Chairman and EVP, Oil, Products and Gas (to move to Vice Chairman, Strategy and Business Development)	Will identify portfolio opportunities from 1 January 2027.
Brent Gros	President, Offshore (to become President, New Energies)	Will also oversee the company's AI strategy.

Sources: Chevron senior leadership announcement of 5 October 2026 (via BOE Report); Chevron Form 10-K FY2025. Tenure dates for earlier roles Not Retrieved.

Capital allocation record. Dividends paid rose from \$10.2bn (2021) to \$12.8bn (2025) and the quarterly dividend is \$1.78 per share (\$7.12 per year, up 4.3%). Share repurchases were \$5.4bn (2022), \$14.7bn (2023), \$15.0bn (2024), \$11.9bn (2025) and \$5.7bn in the first half of 2026. Over 2021 to 2025 cumulative dividends and buybacks were \$104.0bn against cumulative free cash flow of \$110.2bn (94%), yet net debt rose from \$29.2bn to \$40.4bn at end-2025, partly from debt assumed and issued around the Hess transaction (Reasoned). CALCULATED

Acquisitions. Hess closed on 18 July 2025 for about \$53bn in stock (1.025 Chevron shares per Hess share; about 301m shares issued from treasury). The market value of shares issued rises with the stock price, which makes the deal more expensive in hindsight, but the Stabroek interest is a scarce asset. Management raised its synergy estimate to \$1.5bn of run-rate annual savings within one year of closing, 50% above the original target. SOURCED

Guidance accuracy and execution. The 10-K guided 2026 production growth of 7% to 10% over 2025 at \$60 Brent. First-half 2026 output of 3,965k boe/d is 6.5% above the 2025 average of 3,723k and the second quarter of 4,070k is 9.3% above, so the guide appears on track. The \$3bn run-rate cost reduction was achieved six months ahead of the plan. The Tengiz Future Growth Project came online in 2025. SOURCED CALCULATED

Alignment. The financial framework (growing dividend, buybacks tied to cash flow, debt reduction when prices rise) is shareholder friendly and conservative on leverage. Weaker points: buybacks were slowed to \$5.7bn in the first half of 2026 to repay debt after the acquisition, the share count rose 12% year on year, and executive pay and insider ownership are Not Retrieved. A CFO transition on 1 January 2027 coincides with a CEO who has been retained beyond the usual retirement age, so succession planning is a governance point to watch. REASONED

Dividend history beyond the 2021 to 2026 figures shown is not re-verified in this report.

B. Evaluation

B1. Financial and Operating Metrics

KEY METRICS, FY2021 TO TTM JUNE 2026

Metric	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Gross margin	41.0%	38.9%	39.3%	39.5%	41.9%	44.3%
EBITDA margin	21.7%	24.4%	21.7%	20.0%	20.4%	24.2%
Operating (EBIT) margin	10.4%	17.8%	13.8%	11.4%	9.5%	13.0%
Net margin	10.1%	15.0%	11.0%	9.0%	6.7%	9.8%
ROE	11.5%	23.7%	13.3%	11.3%	7.2%	12.2%
ROA	4.2%	10.6%	6.5%	5.4%	3.8%	5.9%
ROIC	6.8%	17.8%	11.2%	8.1%	5.5%	8.2%
FCF margin	13.6%	15.9%	10.2%	7.7%	9.0%	12.9%
Capex / revenue	5.2%	5.1%	8.1%	8.4%	9.4%	8.7%
OCF / net income	1.9x	1.4x	1.7x	1.8x	2.8x	2.2x
FCF / net income	1.4x	1.1x	0.9x	0.9x	1.3x	1.3x
Net debt / EBITDA	0.9x	0.2x	0.4x	0.6x	1.1x	0.6x
Interest coverage (EBIT / interest)	22.6x	81.4x	57.5x	37.6x	14.5x	18.9x
Debt / equity	0.25x	0.17x	0.16x	0.19x	0.24x	0.19x

Sources: Chevron financial statements via StockAnalysis.com (S&P Global data); ROE, ROA and ROIC are provider-computed. EBITDA = operating income + depreciation and amortization (Calculated); it excludes equity-affiliate income. Debt includes lease liabilities for FY2021 to FY2025.

Profitability. Margins peaked in 2022 (operating margin 17.8%) and compressed to 9.5% in FY2025 as Brent fell and Hess depreciation and interest costs rose; the TTM figure of 13.0% reflects the price windfall in the second quarter of 2026. ROIC of 8.2% is acceptable against a provider-estimated WACC of 6.75% but is the weakest of the five peers. ROE (12.2%) and ROIC differ because Chevron holds \$42.3bn of equity-method investments and \$5.7bn of minority interest, and ROE benefits from leverage; ROE should not be read as ROIC. SOURCED CALCULATED

Efficiency and cash. Asset turnover is 0.72x and inventory turnover 12.1x, both lower than 2022 because assets grew with Hess (\$324bn at end-2025 versus \$257bn). Operating cash flow was 2.2x net income TTM because D&A (\$23.4bn) is a non-cash charge and equity-affiliate income (\$4.5bn) is received in cash only as dividends. FCF equals operating cash flow less capex. CALCULATED

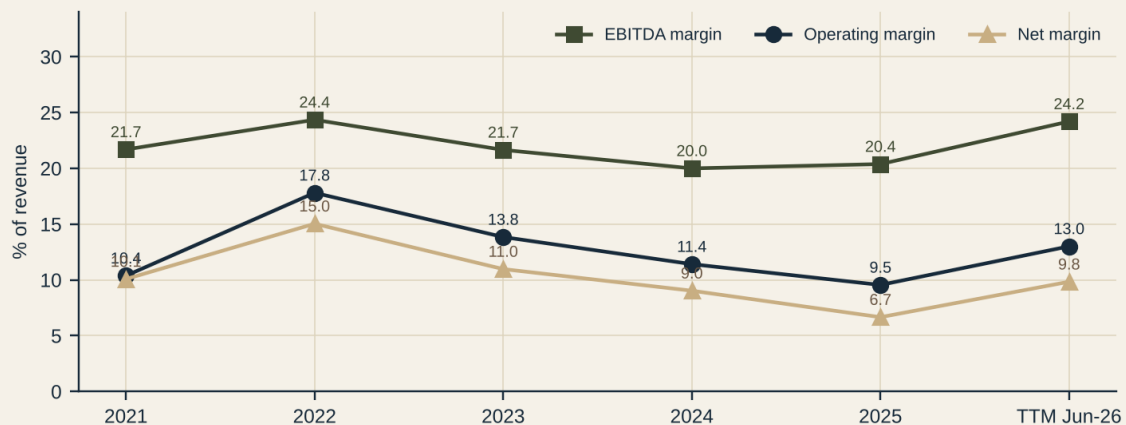
GROWTH (COMPOUND ANNUAL)

Measure	CAGR	Comment
Revenue (FY2021 to FY2025)	4.5%	Hess adds from H2 2025
Operating income (FY2021 to FY2025)	2.3%	Start-year trough, end-year trough

Measure	CAGR	Comment
EBITDA (FY2021 to FY2025)	2.8%	Driven by D&A growth
Diluted EPS (FY2021 to FY2025)	-5.0%	Share count and earnings
Free cash flow (FY2021 to FY2025)	-5.9%	Capex doubled from \$8.1bn
Diluted EPS (FY2023 to TTM)	-3.4%	Recovery in 2026

Calculated from reported figures. Organic growth is Not Retrieved; Hess contributed to H2 2025 and 2026 volumes.

Operating margin, EBITDA margin and net margin, FY2021 to TTM June 2026



Source: Chevron financial statements via StockAnalysis.com; margins Calculated. Percent of revenue.

Comparison. Versus peers (A4), Chevron's operating margin of 13.0% is below ConocoPhillips (23.1%) but in line with integrated peers, and its FCF margin of 12.9% is above Exxon Mobil (8.5%), Shell (10.6%) and TotalEnergies (8.9%) and below ConocoPhillips (15.6%). SOURCED

B2. Risks

RISK RANKING (PROBABILITY 1 TO 5 X IMPACT 1 TO 5)

Risk	Type	Prob.	Impact	Score	Reasoning
Commodity price reversion (Brent from \$114 toward \$74)	Macro	4	5	20	Brent at \$114 in September versus the EIA forecast of \$74 by Q4 2027 (a 35% fall); lower prices cut free cash flow directly.
Project and jurisdiction concentration (Guyana, Tengiz)	Business	3	4	12	Partner operatorship in Guyana, sovereign risk in Kazakhstan and the Caspian Pipeline Consortium export route.
Middle East disruption and sanctions	Regulatory/ Macro	3	4	12	Partitioned Zone curtailments cut Q2 2026 international output; Iraq agreements add exposure.
Valuation compression	Valuation	3	3	9	P/E of 19.7x versus 15.4x 2021 to 2025 average; market cap up 52% over twelve months.
Windfall taxes, royalties and regulation	Regulatory	3	3	9	High prices invite fiscal responses in producing and consuming countries.

Risk	Type	Prob.	Impact	Score	Reasoning
Energy transition and demand decline	Technological	2	4	8	Slow-moving, but long-life assets raise stranded-asset risk.
Hess integration and synergy delivery	Business	2	3	6	Synergy target \$1.5bn run-rate; execution is on track so far.
Operational, refinery and cyber events	Technological	2	3	6	Large single-site assets; major incidents can cost \$1bn+.
Interest rates and currency	Financial	2	2	4	Mostly dollar-denominated; AUD, KZT and BRL exposure in affiliates.
Debt and refinancing	Financial	1	3	3	Net debt to EBITDA 0.56x; debt fell \$8.4bn in Q2 2026.

Scores are the analyst's judgment (Reasoned). Price statements: EIA Short-Term Energy Outlook, 6 October 2026; peer multiples: StockAnalysis.com.

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

1. A sustained oil price below about \$60 combined with a dividend and capex commitment of more than \$30bn per year, which would force either leverage or cuts. 2. A loss or delay of the Guyana and Tengiz growth, on which most of the post-2026 free cash flow growth depends. 3. Structural demand erosion that leaves long-life upstream assets with lower returns than their carrying value; this risk is slow but would impair terminal value.

Business risk is concentrated in Upstream (Q2 2026: 63% of segment earnings) and a handful of large assets. Customer and supplier concentration are Not Retrieved. **Financial risk** is low: \$0.4bn of short-term debt, \$36.7bn long-term debt, interest coverage 18.9x. **Competitive risk** is limited by commodity pricing: competitors affect cost and access to growth, not price. **Technological risk** includes cybersecurity of operational systems and AI-driven efficiency for competitors. SOURCED

CALCULATED

B3. Valuation

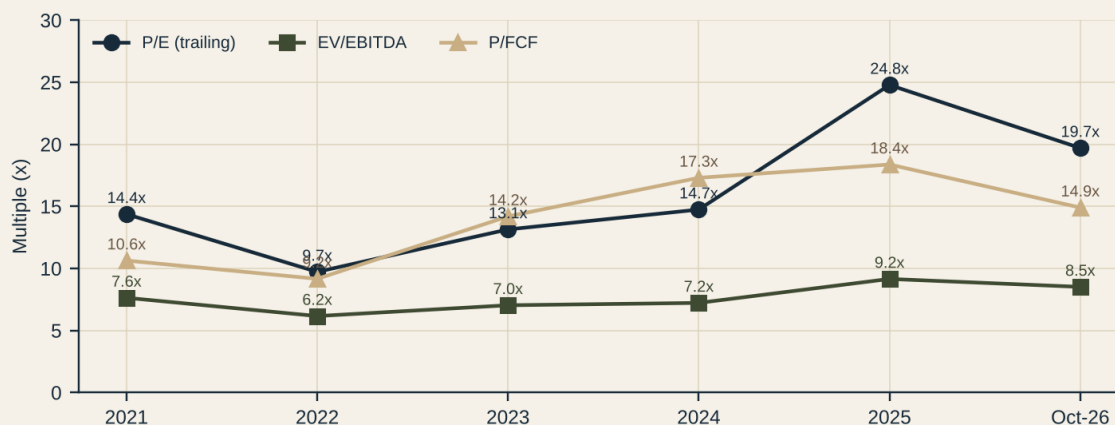
VALUATION MULTIPLES AT THE 7 OCTOBER 2026 CLOSE

Multiple	Current	FY2025	FY2024	FY2023	FY2022	FY2021
P/E (trailing)	19.7x	24.8x	14.7x	13.1x	9.7x	14.4x
P/E (forward)	12.3x	21.1x	14.4x	10.5x	10.5x	11.3x
EV/EBITDA	8.5x	9.2x	7.2x	7.0x	6.2x	7.6x
EV/EBIT	15.8x	19.5x	12.7x	11.0x	8.4x	16.0x
EV/Sales	2.1x	1.9x	1.4x	1.5x	1.5x	1.7x
P/S	1.9x	1.7x	1.3x	1.4x	1.5x	1.5x
P/FCF	14.9x	18.4x	17.3x	14.2x	9.2x	10.6x
EV/FCF	16.0x	20.8x	18.8x	15.0x	9.4x	12.2x
PEG	0.92	1.57	5.05	2.24	2.56	0.25

Multiple	Current	FY2025	FY2024	FY2023	FY2022	FY2021
Price to book	2.1x	1.6x	1.7x	1.7x	2.2x	1.6x
Dividend yield	3.47%	4.61%	4.84%	4.54%	3.69%	5.47%

Source: StockAnalysis.com financial ratios (S&P Global Market Intelligence), updated 7 October 2026. Prior-year columns use the fiscal year-end price and that year's earnings.

Valuation multiple history



Source: StockAnalysis.com ratios; fiscal year-end values and 7 October 2026. P/E, EV/EBITDA and P/FCF shown as multiples (x).

History and peers. Against its own 2021 to 2025 averages (P/E 15.4x, EV/EBITDA 7.4x, P/FCF 13.9x, Calculated), Chevron trades at a premium on P/E (19.7x) and EV/EBITDA (8.5x) and roughly in line on P/FCF (14.9x). The forward P/E of 12.3x, which assumes analysts' higher 2026 and 2027 earnings, is below the 2025 year-end value. Against peers, Chevron is more expensive than Shell (10.6x P/E, 5.5x EV/EBITDA), TotalEnergies (10.5x, 5.6x) and ConocoPhillips (17.3x, 6.4x), and cheaper than Exxon Mobil on P/FCF (22.1x) and forward P/E (12.7x). The premium over Shell and TotalEnergies partly reflects the US listing, lower beta and Guyana growth, and partly accounting (IFRS versus US GAAP) and geographic risk discounts. SOURCED REASONED

What is priced in. Using the base-case cash flow model in section C5, the current price of \$205 corresponds to annual free cash flow of about \$30bn from 2027 (with 1.5% terminal growth and an 8.25% discount rate), about 7% above the base case, compared with TTM FCF of \$27.0bn that benefits from elevated prices. The market therefore requires Brent to stay around \$75 to \$85, Hess synergies to be delivered, production growth of about 3% per year after 2026 and no margin deterioration. That is a Reasonable to mildly Optimistic set of expectations: it is reasonable relative to EIA's 2027 price path (\$84) but optimistic if prices fall toward the \$74 EIA expects at the end of 2027. REASONED

CONCLUSION ON EXPECTATIONS

Reasonable. The stock is not cheap on trailing earnings and not expensive on forward cash flow. Valuation depends on the oil price path far more than on multiples.

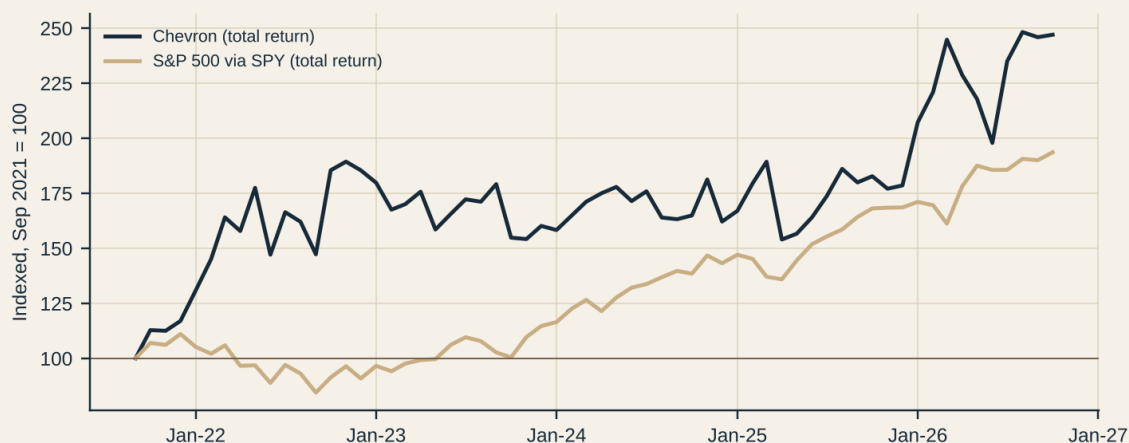
B4. Capital Market and Stock Analysis

RETURNS TO 7 OCTOBER 2026

Period	Base	Chevron	S&P 500 (SPY)
1 day	6 Oct close \$207.58	-1.17%	Not Retrieved
1 week	30 Sep close \$204.21	0.46%	Not Retrieved
1 month	4 Sep close \$208.60	-1.65%	Not Retrieved
3 months	7 Jul close \$174.01	17.9%	Not Retrieved
6 months	Apr-26 month-end (adjusted)	8.0%	Not Retrieved
Year to date	31 Dec 2025 close \$152.41	34.6%	14.9%
1 year	Oct-25 month-end (adjusted)	35.2%	15.2%
3 years	Oct-23 month-end (adjusted)	59.5%	92.7%
5 years	Sep-21 month-end (adjusted)	147.1%	93.7%

Sources: Alpha Vantage daily and monthly adjusted time series (adjusted for dividends); returns Calculated. Daily-based returns are price returns; periods of 6 months or longer use month-end total-return values. StockAnalysis.com reports a 52-week price change of +33.20%.

Chevron versus the S&P 500, indexed total return



Source: Alpha Vantage monthly adjusted time series (CVX, SPY), September 2021 to 7 October 2026. Index: September 2021 = 100.

RISK STATISTICS

Measure	Chevron	S&P 500
Annualized volatility, monthly returns, 5 years	28.6%	15.5%
Annualized volatility, daily returns, last 100 sessions	24.6%	Not Retrieved
Downside deviation, daily, last 100 sessions	15.5%	Not Retrieved
Maximum drawdown, monthly total return, 5 years	-19.2%	Not Retrieved
Beta versus S&P 500, monthly, 5 years	0.54	1.00
Correlation with S&P 500, monthly, 5 years	0.29	1.00
Beta (provider, 5-year)	0.52	1.00

Calculated from Alpha Vantage data; provider beta from StockAnalysis.com. The maximum drawdown occurred from the March 2026 month-end to June 2026 month-end.

Interpretation. Chevron outperformed the index by 20 percentage points over the last year and over five years (gain of 147%, or 19.8% a year, against 94% for the S&P 500), but lagged it over three years (59% versus 93%). Volatility is about 1.8x the index although the beta is only 0.54: the correlation is 0.29, so the stock behaves as a commodity-linked asset first and an equity-market asset second. It is a diversifier, not a defensive. CALCULATED

B4 (continued). Technical Structure

Chevron price with 20-day and 50-day averages and volume, 15 May to 7 October 2026



Source: Alpha Vantage daily time series; averages Calculated. Volume in millions of shares.

TECHNICAL INDICATORS

Indicator	Value	Source
Last close	\$205.15	Alpha Vantage
50-day average	\$203.48 (provider: \$203.49)	Calculated
200-day average	\$187.51	StockAnalysis.com
RSI (14-day)	48.5 (provider: 48.4)	Calculated
MACD (12,26,9)	0.39; signal 0.93; histogram -0.54	Calculated
ATR (14-day)	\$4.23 (2.1% of price)	Calculated
100-session high / low (intraday)	\$217.78 (15 Sep) / \$164.78 (1 Jul)	Alpha Vantage
Resistance / support (30 sessions)	\$217.78 / \$197.82	Calculated
Average volume, 20 / 100 sessions	9.6m / 8.9m shares	Calculated

What the structure suggests. The stock rose 32% from the 1 July low of \$164.78 to the 15 September high of \$217.78 as Brent spiked, and has since consolidated between \$202 and \$212 on closing prices, 5.8% below the high. It trades above its

50-day (\$203.5) and 200-day (\$187.5) averages, so the trend remains up, but the MACD is below its signal line and the histogram is negative, showing fading momentum. RSI of 48 is neutral. The 18 September session carried 47m shares (about 5x average) on a 1% price fall, consistent with an index or options expiry event rather than a change in view (Reasoned). Support sits near \$198 (August lows) and then the 200-day average near \$188; resistance is the \$212 to \$218 zone.

REASONED

Technical versus fundamental. The technical read is neutral to mildly constructive and says nothing about intrinsic value. Fundamentally the stock depends on the oil price, which the market is already partly discounting: the equity rose 35% year to date while Brent rose from \$62.5 to \$114. If Brent falls toward the EIA forecast, the 200-day average at \$188 is the natural reference level, which also coincides with the lower end of the base-case DCF range. REASONED

C. Financial Statements

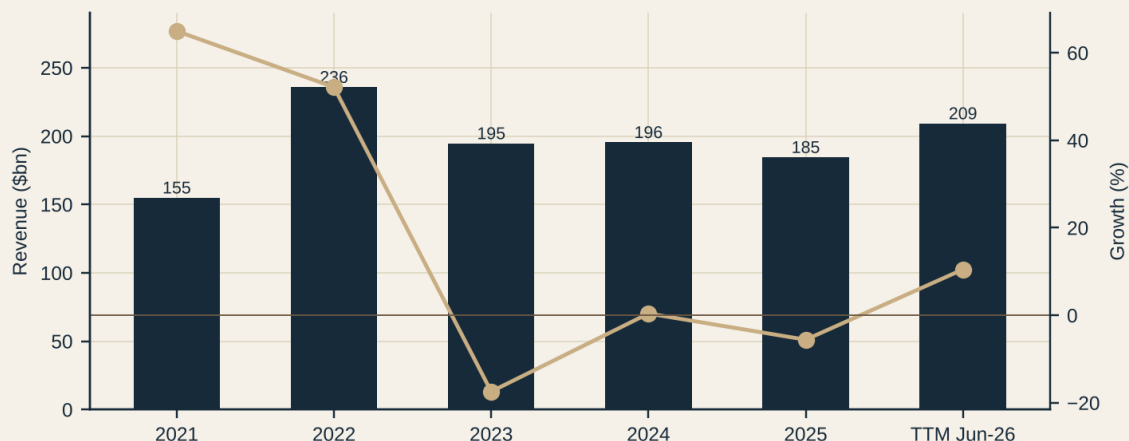
C1. Income Statement

INCOME STATEMENT SUMMARY, \$BN UNLESS STATED

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Revenue	155.1	235.9	194.8	195.6	184.7	209.4
Revenue growth	64.96%	52.14%	-17.43%	0.40%	-5.58%	10.48%
Gross profit	63.6	91.7	76.5	77.3	77.4	92.7
SG&A	25.4	29.3	29.2	32.5	33.4	35.7
Operating income (EBIT)	16.1	42.0	27.0	22.3	17.6	27.2
D&A (cash flow statement)	17.5	15.4	15.2	16.8	20.0	23.4
EBITDA (Calculated)	33.6	57.4	42.2	39.1	37.6	50.7
Interest expense	0.7	0.5	0.5	0.6	1.2	1.4
Equity-affiliate income	5.7	8.6	5.1	4.6	3.0	4.5
Pre-tax income	21.6	49.7	29.6	27.5	19.7	30.6
Income tax	6.0	14.1	8.2	9.8	7.3	9.7
Effective tax rate	27.5%	28.3%	27.6%	35.5%	36.8%	31.6%
Net income	15.6	35.5	21.4	17.7	12.3	20.6
Diluted EPS (\$)	8.14	18.28	11.36	9.72	6.63	10.41
Diluted shares (m)	1,920	1,940	1,880	1,817	1,856	1,977

Source: Chevron financial statements via StockAnalysis.com (S&P Global Market Intelligence), US GAAP, reported figures except where marked Calculated. R&D is not separately reported by Chevron. Operating income as defined by the provider excludes equity-affiliate income.

Revenue and annual growth



Source: Chevron financial statements via StockAnalysis.com. \$bn; TTM to 30 June 2026.

Drivers. Revenue grew 65% in 2021 and 52% in 2022 on recovering demand and the Ukraine-related price spike, fell 17% in 2023 and 6% in 2025 as Brent declined from \$100 to \$69, and rose 10.5% TTM as the 2026 price spike and Hess volumes arrived. Growth is mainly price in 2021 to 2024 and price plus acquired volume in 2025 and 2026: production rose from 3,338k boe/d (2024) to 3,723k (2025), +11.5%, and 4,070k in Q2 2026. Currency effects were small (a \$49m reduction in Q2 2026). SOURCED CALCULATED

Operating leverage and margins. Gross margin held in a 39% to 44% band, but operating margin ranged from 9.5% to 17.8% because costs do not fall with price: SG&A rose 41% from \$25.4bn to \$35.7bn while revenue rose 35%. From 2023 to 2025 margins contracted (operating margin 13.8% to 9.5%), with Hess D&A and interest (\$1.2bn in 2025, double 2024) added. In the TTM period margins are expanding again. The effective tax rate has ranged from 27% to 37% (2024: 35.5%, 2025: 36.8%, TTM: 31.6%) and is a variable because production mix shifts toward high-tax jurisdictions. CALCULATED

Net income versus cash. Net income did not equal cash generation: FY2025 net income was \$12.3bn while operating cash flow was \$33.9bn, a gap of \$21.6bn mostly from \$20.0bn of D&A. Net income also includes \$3.0bn of equity-affiliate income that is received as dividends rather than as operating cash. CALCULATED

C2. Balance Sheet

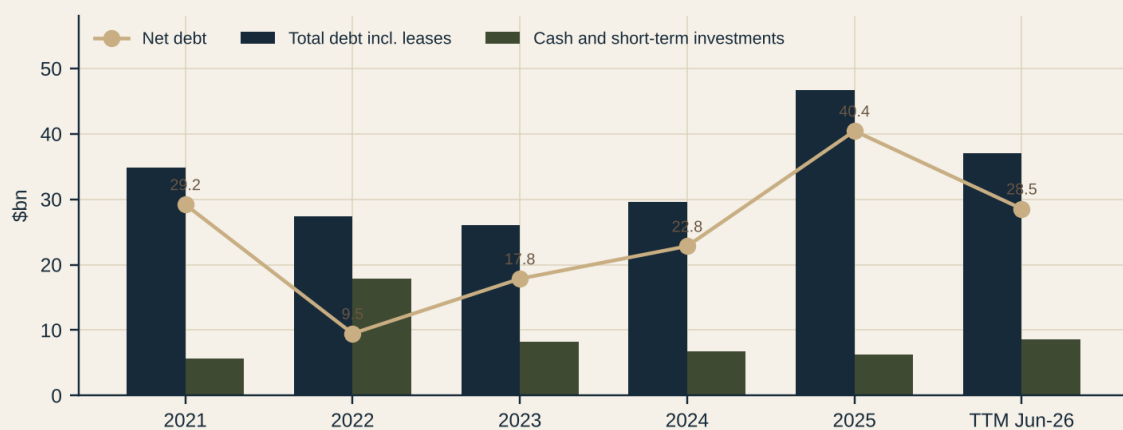
BALANCE SHEET SUMMARY, \$BN

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Cash and short-term investments	5.7	17.9	8.2	6.8	6.3	8.5
Receivables	18.2	20.3	19.8	20.6	17.9	24.5
Inventory	6.8	8.2	8.6	9.1	9.7	10.5
Total current assets	33.7	50.3	41.1	40.9	38.6	49.1
Property, plant and equipment	150.6	147.9	159.0	153.1	225.8	215.9
Goodwill	4.4	4.7	4.7	4.6	4.6	4.6
Total assets	239.5	257.7	261.6	256.9	324.0	330.1
Accounts payable	16.5	19.0	20.4	22.1	19.3	24.4

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Total current liabilities	26.8	34.2	32.3	38.6	33.4	39.2
Total debt incl. leases	34.9	27.4	26.1	29.6	46.7	37.1
Pension and post-retirement	6.2	4.4	4.1	3.9	4.1	3.9
Deferred tax liabilities	14.7	17.1	18.8	19.1	30.0	30.3
Shareholders' equity incl. minority	139.9	160.2	161.9	153.2	192.2	195.6
Net debt (Calculated)	29.2	9.5	17.8	22.8	40.4	28.5
Current ratio	1.26x	1.47x	1.27x	1.06x	1.15x	1.25x
Working capital	6.9	16.1	8.9	2.4	5.2	9.9
Equity ratio (equity / assets)	58.4%	62.2%	61.9%	59.6%	59.3%	59.2%

Source: Chevron financial statements via StockAnalysis.com; year-end figures; the last column is 30 June 2026. FY2021 to FY2025 debt includes lease liabilities; the company reported total debt of \$40.8bn at end-2025 excluding some leases and \$37.1bn at 30 June 2026 (Q2 2026 release). Preferred measure for leverage: company-reported net debt of \$28.5bn at 30 June 2026, which matches the provider.

Debt, cash and net debt



Source: Chevron financial statements via StockAnalysis.com. \$bn; FY2021 to 30 June 2026.

Assets. PP&E rose from \$153bn to \$226bn at end-2025 as Hess assets were recorded at fair value; goodwill is only \$4.6bn (1.4% of assets), a low-risk composition. Receivables rose to \$24.5bn at June 2026 (+37% from end-2025) with the price spike, while accounts payable rose to \$24.4bn, so net trade working capital was neutral. Inventory is \$10.5bn. Long-term investments of \$42.3bn are mostly equity affiliates such as Tengizchevroil. SOURCED

Liabilities and equity. Net debt rose from \$22.8bn (2024) to \$40.4bn (2025) after Hess and fell back to \$28.5bn at June 2026 as the cash flow windfall repaid debt; net debt to EBITDA is 0.56x and debt to equity 0.19x. Deferred tax liabilities rose 57% to \$30bn (from \$19.1bn), consistent with the Hess fair-value step-up (Reasoned). The pension liability is small at \$3.9bn. Treasury stock of \$56.2bn reflects buybacks net of the 301m shares issued to Hess holders. CALCULATED

RED-FLAG CHECK

Excessive leverage: no. Goodwill concentration: no (1.4% of assets). Deteriorating working capital: neutral (current ratio 1.25x, quick ratio 0.84x). Rising receivables and inventory: both up but in line with price and volume. Refinancing: short-term debt \$0.4bn only. Off-balance-sheet obligations: operating leases and guarantees of affiliate debt are Not Retrieved from the filing excerpt. Overall balance-sheet strength: High. REASONED

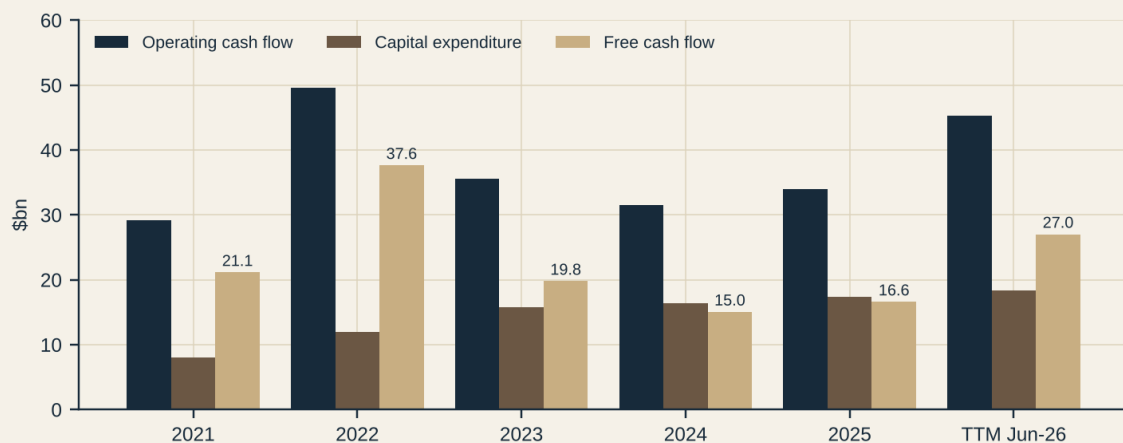
C3. Cash Flow Statement

CASH FLOW SUMMARY, \$BN

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun-26
Net income	15.6	35.5	21.4	17.7	12.3	20.6
Depreciation and amortization	17.5	15.4	15.2	16.8	20.0	23.4
Operating cash flow	29.2	49.6	35.6	31.5	33.9	45.3
Capital expenditure	(8.1)	(12.0)	(15.8)	(16.4)	(17.3)	(18.3)
Free cash flow	21.1	37.6	19.8	15.0	16.6	27.0
FCF margin	13.6%	15.9%	10.2%	7.7%	9.0%	12.9%
Dividends paid	(10.2)	(11.0)	(11.3)	(11.8)	(12.8)	(13.9)
Share repurchases	0.0	(5.4)	(14.7)	(15.0)	(11.9)	(9.9)
OCF / net income	1.9x	1.4x	1.7x	1.8x	2.8x	2.2x
Capex / OCF	27.6%	24.1%	44.5%	52.2%	51.1%	40.4%
Dividends + buybacks / FCF	48.2%	43.5%	131.5%	178.4%	148.3%	88.0%

Source: Chevron financial statements via StockAnalysis.com. FCF = operating cash flow less capital expenditure (Calculated); the company's own definition of free cash flow differs slightly (YTD 2026: \$16.5bn reported, \$19.6bn adjusted for working capital).

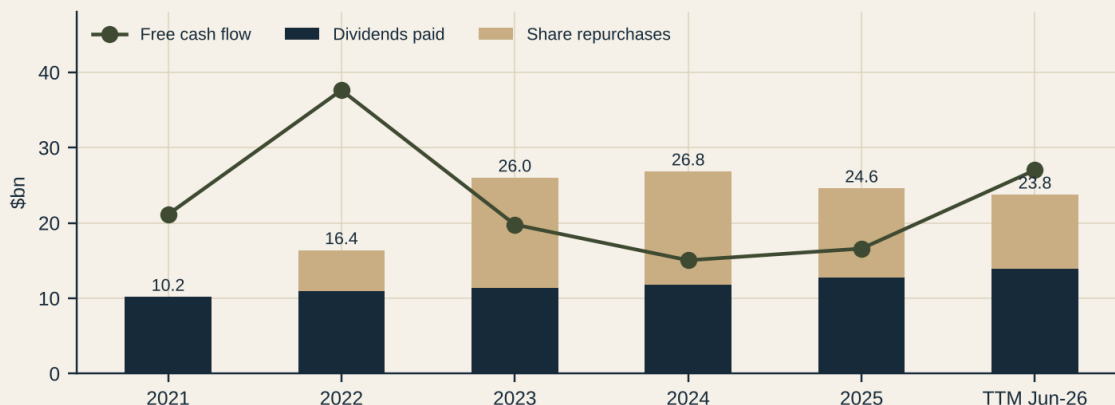
Operating cash flow, capital expenditure and free cash flow



Source: Chevron financial statements via StockAnalysis.com; FCF Calculated. \$bn.

Cash generation. Free cash flow was \$21.1bn (2021), \$37.6bn (2022), \$19.8bn (2023), \$15.0bn (2024), \$16.6bn (2025) and \$27.0bn TTM. Capex rose from \$8.1bn to \$18.3bn (+127%), which kept FCF below its 2022 peak even though operating cash flow in 2025 was just 32% below. FCF growth over 2021 to 2025 was negative at -5.9% a year (Calculated), a sign that the growth projects are consuming the cash flow upfront. TTM FCF includes working capital movements: the company reports adjusted FCF of \$19.6bn year to date versus \$16.5bn unadjusted. CALCULATED

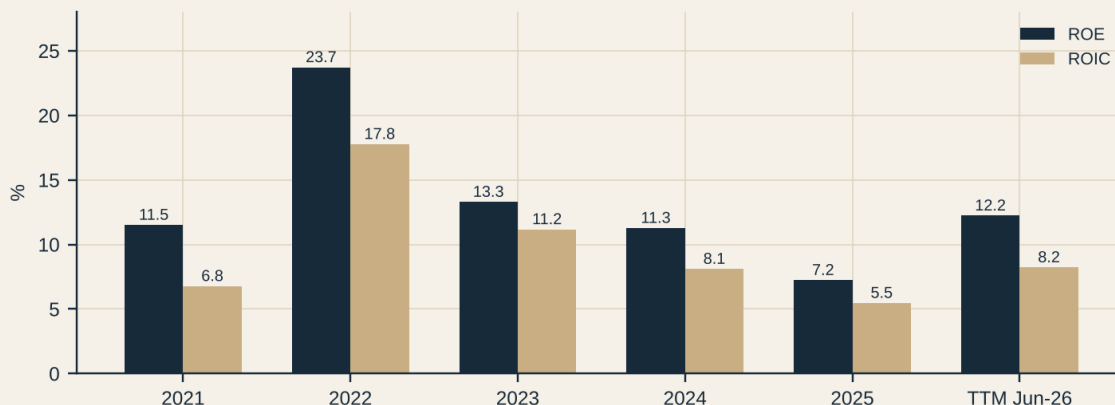
Shareholder distributions versus free cash flow



Source: Chevron financial statements via StockAnalysis.com. \$bn; dividends and share repurchases.

Uses of cash. In 2023 and 2024 dividends plus buybacks exceeded free cash flow (about 132% and 178%) and were covered with cash and debt. In TTM they equal 88% of FCF. Debt issuance of \$11.4bn in 2025 raised net debt; debt repayment of \$6.7bn TTM and a record \$8.4bn debt reduction in Q2 2026 are reversing it. The dividend (\$13.9bn TTM) is covered 1.9x by FCF. SOURCED CALCULATED

Return on equity and return on invested capital



Source: StockAnalysis.com financial ratios (S&P Global Market Intelligence); provider-computed. Percent.

C4. Forecasting and Projections

All figures in this section are Reasoned estimates and assumptions, not company guidance or market consensus. The model is built on a price deck and a production path because those two variables explain most of the variance in Chevron's cash flow.

BASE CASE OPERATING PROJECTIONS

Item	2026E	2027E	2028E	2029E	2030E
Brent (\$/bbl, assumed)	96	84	75	75	75
Production (k boe/d)	4,020	4,150	4,250	4,320	4,400
Revenue (\$bn)	218	205	197	199	202
Capex incl. affiliates (\$bn)	19.5	19.5	18.5	18.5	18.5
Free cash flow (\$bn, full year)	36	28	27	28	29
FCF margin	16.5%	13.7%	13.7%	14.1%	14.4%

Brent 2026 and 2027 follow the EIA Short-Term Energy Outlook of 6 October 2026 (\$96 and \$84); 2028 onward is the analyst's assumption. 2026 free cash flow includes the \$27bn already reported over the trailing period; only the final quarter (about \$9bn) enters the DCF. Production 2026E is consistent with 7% to 10% growth guidance over 3,723k boe/d.

Revenue. Volume contributes about +3% per year to 2028 from Guyana (eight floating production units planned by 2030), Permian growth and full-year Hess assets; price is the swing factor. Segment drivers: Upstream US (Permian and Gulf of America), Upstream International (Guyana, Tengiz, Australian LNG), Downstream (utilization of 92.9% in 2025 rising to above 97% in Q2 2026). Chevron's 4.07m boe/d is about 4% of the EIA 2026 global liquids production estimate of 101.1m b/d (indicative only, since it mixes gas equivalents with liquids). SOURCED REASONED

Margins. Gross margin should fall back from 44% toward 40% to 41% as Brent drops from \$114 to \$75, with SG&A stable at about \$36bn after \$3bn to \$4bn of structural savings; operating margin therefore normalizes at 11% to 13%. R&D is not reported separately. **Working capital and capex.** Working capital swings of \$1bn to \$3bn follow prices; capex stays at the low end of the \$18bn to \$21bn long-term range; the maintenance versus growth split is Not Retrieved. REASONED

SCENARIO ANALYSIS (REASONED)

Item	Bear case	Base case	Bull case
Brent assumption	\$60	\$75	\$90
FCF 2027E to 2030E per year (\$bn)	17 to 20	27 to 29	36 to 42
Production CAGR to 2030	1%	3%	4%
Discount rate / terminal growth	8.75% / 1.0%	8.25% / 1.5%	7.75% / 2.0%
Equity value per share (DCF)	\$99	\$192	\$330
Versus \$205.15	-52%	-6%	61%

Equity values are outputs of the DCF in section C5 and are ranges, not price targets.

C5. Discounted Cash Flow Model

DCF ASSUMPTIONS AND RESULTS (BASE CASE)

Input	Value	Basis
Revenue assumption	\$218bn (2026E) to \$202bn (2030E)	Price deck above; volume growth 3% a year
Operating margin	12% to 14%	Normalizes from 13.0% TTM; Reasoned

Input	Value	Basis
Cash tax rate	30% to 32%	TTM effective rate 31.6% (Calculated)
Capex	\$18.5bn to \$19.5bn	Guidance range \$18bn to \$21bn; 2026 organic \$18bn to \$19bn
Working capital	Neutral after 2026	Receivables and payables roughly offset
Free cash flow (operating cash flow less capex, after interest), Q4 2026 stub then 2027 to 2030	\$9bn; \$28bn; \$27bn; \$28bn; \$29bn	Reasoned
Discount rate (WACC)	8.25% (range 7.25% to 9.25%)	Provider WACC is 6.75%; analyst uses a higher rate for commodity risk
Terminal growth	1.5% (range 0.5% to 2.5%)	Below long-run nominal GDP
Enterprise value	\$411bn	Terminal value is 76% of EV
Less: net debt (30 Jun 2026)	\$28.5bn	Chevron Q2 2026 release
Less: minority interest	\$5.7bn	Balance sheet, 30 Jun 2026
Shares outstanding	1,962m	StockAnalysis.com, 30 Jun 2026 basis
Equity value per share	\$192	Base case

Valuation date 8 October 2026; cash flows are discounted from year-end dates (0.23 to 4.23 years). No deduction is made for the \$3.9bn pension liability or addition for the \$42.3bn of equity-affiliate investments, whose cash flows are already in operating cash flow through dividends. Net debt is as of 30 June 2026; cash generated in the third quarter is not credited, a conservative simplification.

SENSITIVITY: EQUITY VALUE PER SHARE TO WACC (ROWS) AND TERMINAL GROWTH (COLUMNS)

WACC	g = 0.5%	g = 1.0%	g = 1.5%	g = 2.0%	g = 2.5%
7.25%	\$198	\$212	\$228	\$248	\$272
7.75%	\$183	\$195	\$209	\$225	\$244
8.25%	\$170	\$180	\$192	\$206	\$222
8.75%	\$159	\$168	\$178	\$189	\$203
9.25%	\$149	\$157	\$165	\$175	\$186

Base-case cash flows. Market price \$205.15.

SENSITIVITY: EQUITY VALUE PER SHARE TO FREE CASH FLOW LEVEL (ROWS) AND TERMINAL GROWTH (COLUMNS)

FCF level	g = 0.5%	g = 1.0%	g = 1.5%	g = 2.0%	g = 2.5%
80% of base FCF	\$133	\$141	\$150	\$161	\$174
90% of base FCF	\$151	\$161	\$171	\$183	\$198
100% of base FCF	\$170	\$180	\$192	\$206	\$222
110% of base FCF	\$189	\$200	\$213	\$228	\$245
120% of base FCF	\$208	\$220	\$234	\$250	\$269

WACC 8.25%. A 10% change in free cash flow moves the value by about \$20 per share.

VALUATION RANGE

The bear, base and bull cases yield about \$99, \$192 and \$330 per share. The base-case sensitivity grid (WACC 7.25% to 9.25%, terminal growth 0.5% to 2.5%) gives a range of roughly \$149 to \$272, with the central cluster at \$170 to \$230. The stock at \$205.15 sits inside the central cluster. A DCF of a commodity business is dominated by the price deck (terminal value is about three quarters of the total), so these figures are a framework for stating assumptions, not an intrinsic value. REASONED

C6. Leveraged Buyout Model

Not applicable. At an enterprise value of \$431bn, a market capitalization of \$402bn and a business with a regulated, strategic asset base, a leveraged buyout is not a realistic valuation framework. The equivalent test, how much debt the cash flow can carry, is shown by net debt to EBITDA of 0.56x. REASONED

D. Investment Thesis

Bull Case

Brent stays near \$90 through 2028 as Middle East supply recovers slowly and inventories rebuild, Guyana reaches eight floating production units on schedule, Permian and Gulf of America volumes grow 4% per year and Hess synergies reach the full \$1.5bn. Free cash flow averages \$36bn to \$42bn, the dividend grows 5% to 6% a year, buybacks resume at \$12bn to \$15bn, and the multiple holds at 16x to 18x earnings. DCF value is about \$330 per share under these assumptions.

REASONED

Bear Case

A ceasefire reopens Hormuz, OPEC returns rapidly, and Brent drops toward \$60 by 2028 as non-OPEC supply grows to 80.4m b/d. Free cash flow falls to \$17bn to \$20bn against a dividend of \$14bn, forcing buybacks to stop and debt to rise by \$10bn to \$15bn over two years. Guyana delays or a Tengiz disruption add to the pressure. The multiple compresses to 10x to 12x trailing earnings. DCF value is about \$99 per share. REASONED

Base Case

Brent follows the EIA path (\$84 in 2027) and settles near \$75 from 2028. Production grows 3% a year, capex holds at \$18.5bn, free cash flow averages \$28bn, and the company returns 85% to 90% of it through dividends and buybacks while keeping net debt to EBITDA below 0.8x. DCF value is about \$192 per share, within 7% of the market price. REASONED

Catalysts

CATALYSTS AND DATES

Catalyst	Timing	Direction
Q3 2026 earnings (Brent averaged about \$96)	Late October or early November 2026 (date Not Retrieved)	Positive if realizations hold

Catalyst	Timing	Direction
EIA Short-Term Energy Outlook	10 November 2026	Price path revision
2027 capital budget and guidance	December 2026 (Chevron published the 2026 budget on 3 December 2025)	Neutral to positive
CFO and executive transition	1 January 2027	Governance
Singapore refinery and Southeast Asia asset sales	Expected to close in 2027	Simplifies downstream
Iraq heads of agreement (West Qurna 2, Nasiriyah, pipeline)	2026 to 2027	Growth option and risk
Guyana floating production unit start-ups	Through 2030	Positive

Sources: Chevron Q2 2026 release; Chevron 2026 capital budget release (3 December 2025); EIA STEO.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Brent price versus \$75	Drives free cash flow	Above \$80	Below \$65
Production (boe/d)	Hess and Guyana ramp	Above 4.1m	Below 3.9m
Free cash flow versus dividends plus buybacks	Capital return sustainability	Coverage above 1.0x	Below 1.0x
Net debt to EBITDA	Balance-sheet capacity	Below 0.7x	Above 1.0x
Structural cost savings	Margin defence	\$4bn run rate	Reversal of savings
Hormuz flows and shut-in volumes	Supply shock duration	Shut-ins fall below 4.5m b/d	Renewed attacks
ROIC	Value creation	Above 10%	Below 7%

E. Final Investment Framework

DECISION FRAMEWORK

Dimension	Assessment and explanation
Business Quality	High. Integrated, diversified across basins, with 10.6bn boe of reserves and 4.07m boe/d of production; returns follow the oil price.
Financial Quality	High. Net debt to EBITDA 0.56x, interest coverage 18.9x, OCF 2.2x net income; free cash flow covers the dividend 1.9x.
Competitive Position	Strong. Second-largest US major with leading positions in the Permian, Guyana and Australian LNG.

Dimension	Assessment and explanation
Management	Good. Executed Hess, delivered cost savings early, reduced debt; succession and insider ownership need monitoring.
Industry	Mature, cyclical and in a supply shock. Structural demand headwinds are long-dated.
Valuation	Fair. P/E 19.7x trailing and 12.3x forward; EV/EBITDA 8.5x; DCF range centered on the current price.
Technical and Market Structure	Constructive trend, fading momentum; beta 0.5 and volatility 28% a year.
Principal Risk	Brent falling from \$114 toward the EIA forecast of \$74 by end-2027 while capex and distributions are set at current levels.
Principal Catalyst	Guyana ramp and delivery of Hess synergies, supporting 3% volume growth at low unit cost.
Key Variable	The Brent price path from 2027 to 2029, which determines whether free cash flow settles near \$20bn, \$28bn or \$38bn.

THESIS INVALIDATION

The investment thesis would become materially weaker if any of the following occurs: Brent trades below \$65 for two consecutive quarters; annual free cash flow falls below \$20bn while dividends plus buybacks stay above \$22bn; net debt to EBITDA exceeds 1.0x; Guyana first-oil dates slip by more than twelve months; or production falls below 3.8m boe/d without a divestiture explanation.

F. Data Table

COMPANY SNAPSHOT

Category	Metric	Current	Prior Year	3Y / 5Y Trend
Market	Market cap	\$402.4bn	\$304.7bn (FY2025)	+79% vs FY2021 \$224.6bn
Market	Enterprise value	\$431.0bn	\$344.3bn (FY2025)	+68% vs FY2021
Market	Share price	\$205.15	\$152.41 (31 Dec 2025)	5Y +147% total return
Growth	Revenue growth	10.5% TTM	-5.6% (FY2025)	FY2021 to FY2025 CAGR 4.5%
Profitability	Gross margin	44.3%	41.9% (FY2025)	Range 38.9% to 44.3%
Profitability	Operating margin	13.0%	9.5% (FY2025)	Range 9.5% to 17.8%
Profitability	Net margin	9.8%	6.7% (FY2025)	Range 6.7% to 15.0%
Profitability	ROE	12.2%	7.2% (FY2025)	Peak 23.7% in 2022
Profitability	ROIC	8.2%	5.5% (FY2025)	Peak 17.8% in 2022
Cash Flow	Operating cash flow	\$45.3bn	\$33.9bn (FY2025)	FY2021 \$29.2bn
Cash Flow	Free cash flow	\$27.0bn	\$16.6bn (FY2025)	FY2022 peak \$37.6bn

Category	Metric	Current	Prior Year	3Y / 5Y Trend
Leverage	Net debt / EBITDA	0.56x	1.08x (FY2025)	Range 0.17x to 1.08x
Valuation	P/E (trailing)	19.7x	24.8x (FY2025)	5Y average 15.4x
Valuation	EV/EBITDA	8.5x	9.2x (FY2025)	5Y average 7.4x
Valuation	P/FCF	14.9x	18.4x (FY2025)	5Y average 13.9x
Market	Beta (provider, 5Y)	0.52	Not Retrieved	Calculated 0.54
Market	Volatility (annualized)	28.6%	Not Retrieved	S&P 500: 15.5%
Market	Maximum drawdown (5Y, monthly)	-19.2%	Not Retrieved	March to June 2026

Sources: StockAnalysis.com; Alpha Vantage; Chevron filings. Prior-year column uses fiscal year-end data for FY2025. Trend column is Calculated. Net margin for FY2022: 15.0%.

G. Sources and Methodology

Data were cross-checked across providers before use: the 7 October 2026 closing price of \$205.15 is identical in Alpha Vantage and StockAnalysis.com; net debt of \$28.545bn and total debt of \$37.075bn in the provider data equal the figures in Chevron's Q2 2026 release; the 50-day average calculated from daily closes (\$203.48) matches the provider (\$203.49) and the calculated RSI (48.5) matches the provider (48.4). Differences identified: (1) provider total debt at end-2025 (\$46.7bn) includes leases while the company reports \$40.8bn; the company figure is preferred for leverage ratios, and the provider series is used for the five-year trend. (2) Free cash flow differs between the company definition (YTD 2026 \$16.5bn) and the provider TTM calculation (\$27.0bn); the provider definition (operating cash flow less capex) is used consistently. (3) Forward P/E and consensus price target (\$224.63 across 25 analysts, per StockAnalysis.com) are market expectations, not facts.

Primary sources

- Chevron Corporation, Form 10-K for the fiscal year ended 31 December 2025, US SEC. Business, segments, production, reserves, refining, projects, employees. <https://www.sec.gov/Archives/edgar/data/93410/000009341026000078/cvx-20251231.htm>
- Chevron Corporation, Form 8-K, Exhibit 99.1, second quarter 2026 results, 31 July 2026. Earnings, segment results, production, cash flow, debt, buybacks, dividend. <https://www.sec.gov/Archives/edgar/data/0000093410/000009341026000162/a06302026ex9918-k.htm>
- Chevron Corporation, Chevron Announces 2026 Capex Budget of \$18 to \$19 Billion, 3 December 2025 (Business Wire). Capital budget and production outlook. <https://www.businesswire.com/news/home/20251203836095/en/Chevron-Announces-2026-Capex-Budget-of-%2418-to-%2419-Billion>

Secondary sources

- US Energy Information Administration, Short-Term Energy Outlook, Global Oil Markets, 6 October 2026. Brent forecast, supply, demand, inventories. https://eia.gov/outlooks/steo/report/global_oil.php
- World Oil, Chevron completes \$53 billion Hess takeover following lengthy Exxon arbitration, 18 July 2025. Deal terms. <https://worldoil.com/news/2025/7/18/chevron-completes-53-billion-hess-takeover-following-lengthy-exxon-arbitration/>
- BOE Report, Chevron announces senior leadership changes, 5 October 2026. Executive transitions. <https://boereport.com/2026/10/05/chevron-announces-senior-leadership-changes-5/amp/>

Market data and financial data

- Alpha Vantage, daily, monthly adjusted time series (CVX, SPY) and Brent monthly price, data to 7 October 2026. Prices, returns, volume, benchmark, oil price. <https://www.alphavantage.co/documentation/>
- StockAnalysis.com, Chevron (CVX) income statement, balance sheet, cash flow, ratios and statistics (S&P Global Market Intelligence data), 7 October 2026. <https://stockanalysis.com/stocks/cvx/financials/> and <https://stockanalysis.com/stocks/cvx/statistics/>
- StockAnalysis.com, statistics pages for Exxon Mobil (<https://stockanalysis.com/stocks/xom/statistics/>), ConocoPhillips (<https://stockanalysis.com/stocks/cop/statistics/>), Shell (<https://stockanalysis.com/stocks/shell/statistics/>) and TotalEnergies (<https://stockanalysis.com/stocks/tte/statistics/>), 7 to 8 October 2026. Peer valuation and margins.

Calculations by the analyst

- EBITDA (operating income plus depreciation and amortization), free cash flow (operating cash flow less capital expenditure), margins, growth rates, leverage and coverage ratios, returns over each period, annualized volatility, downside deviation, maximum drawdown, beta and correlation, RSI, MACD, ATR, moving averages, averages of multiples, the discounted cash flow model, scenario values and risk scores.
- Methodology: returns of six months or more use dividend-adjusted month-end prices; shorter returns use daily closes. Volatility is the standard deviation of periodic returns times the square root of 12 (monthly) or 252 (daily). Beta is the covariance with SPY divided by the variance of SPY, using 60 monthly returns. DCF assumptions are listed in sections C4 and C5.

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